

City of Easley, South Carolina

Proposed Operating Budget

Fiscal Year July 1, 2018 through June 30, 2019



Larry D. Bagwell
Mayor

Brian Garrison
Council Member (Ward 1)

Kent Dykes
Council Member (Ward 2)

Chris Mann
Council Member (Ward 3)

Terry Moore
Council Member (Ward 4)

Thomas Wright
Council Member (Ward 5)

Jim Robinson
Council Member (Ward 6)

Stephen Steese
City Administrator

Joni Smith
Finance Director

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BUDGET MESSAGE & EXECUTIVE SUMMARY



April 9, 2018

The Honorable Larry D. Bagwell
Members of City Council
City of Easley, South Carolina

Dear Mayor Bagwell and Members of City Council:

I am pleased to present to the citizens of Easley, members of City Council, City employees, and other interested readers the 2018-19 operating budget for the City of Easley, South Carolina.

The projected revenues for all funds is \$17,351,750 including a General Fund budget of \$13,783,750. This represents an overall budgetary increase of 3.4% and a General Fund increase of 2.0% over the adopted 2017-18 operating budget, respectively. However, the proposed FY 18-19 General Fund budget is 2% less than the FY 17-18 budget when you remove revenues from Lease Purchases in both years. This is due to the budget showing \$550,000 budgeted for a new fire engine. A summary of all funds outlining the changes is included at the end of the Executive Summary.

The City of Easley is in the process of creating a Strategic Plan to guide the future growth and direction of the city. The 2018-19 Budget addresses three (3) Themes that council have identified during this process:

- Quality Services
- Quality Places
- Quality Community

The FY 18-19 budget period has the potential to be a start to a transformative period for the citizens, businesses, and organizations of Easley. There are three (3) primary funding sources that will provide the funding to address the priorities of the community and offer the city opportunities to partner with public and private partners.

Tax Increment Finance Bond

The City of Easley was able to partner with Pickens County and the School District of Pickens County to extend the Downtown Tax Increment Finance District for ten (10) additional years. Additional areas of potential development were added to expand the district and allow for greater impact. The bond tied to the extension, and fund balance from the expiring bond payments, will provide the City with approximately \$1.8 million to invest in the Downtown during FY 18-19. Council and Staff are working to prioritize projects, establish scope, and design the projects currently, but the majority of work will take place during the FY 18-19 fiscal year. This Bond will be tied to the TIF District, and will be paid in full during last fiscal year of the TIF District, FY 2028-29.

General Obligation Bond

The City of Easley has experienced growth of almost 40% over the last 25 years. This has added demand to service delivery and created challenges to delivering quality services. Fire Station #1 and the Public Works facilities have both aged, maxed out space requirements, and are located in areas that provide challenges to service delivery. The City is currently exploring the idea of relocating these facilities.

Fire Station #1 would be moved from Highway 8 where the current facility is maxed out on space and lifespan of the building, and where traffic growth on Hwy 8 has made simply entering and exiting the property a challenge. The Public Works campus would be relocated from Downtown where it is out of place in the business district, aged out of current facilities, and would open up space for development.

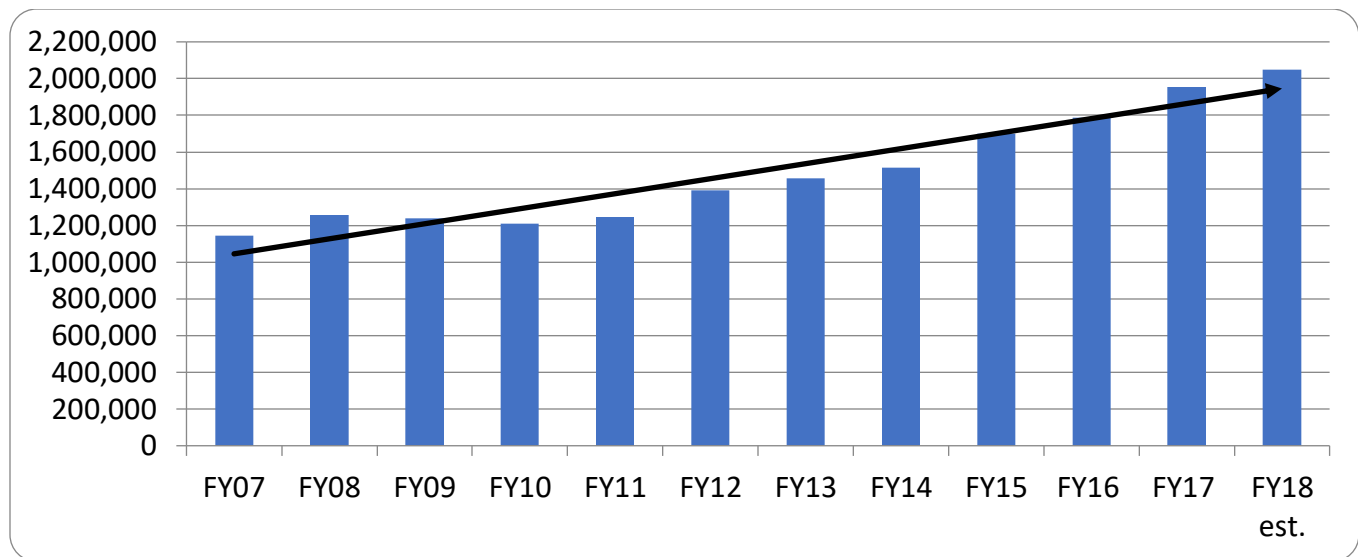
It is proposed to issue \$5.5 million in General Obligation Bonds in FY 18-19 for the construction of these new facilities. The City has reduced our debt payments from \$830,000 in FY 15-16 to an estimated payment of \$275,000 in FY 18-19. This provides the flexibility in the General Fund to take on these payment, and still keep our debt payments below the FY 15-16 level. It is estimated that we would peak at \$612,000 in FY 19-20, and then level off between \$500,000 - \$550,000 in the five (5) years following. The City would be required to leverage 3 mills of the tax rate for the bond issuance. The FY 18-19 budget recommends increasing the millage from 65 to 68 mills to address this requirement.

Hospitality Bond

The City of Easley completed a Parks and Recreation Master Plan in 2017 and is now looking at the implementation of the plan's recommendations. The top priorities that were identified in the plan were to update/improve the current facilities, look at the adding rectangle multi-use fields, and to increase the amount of passive recreation throughout the City.

Council and Staff are currently working to create a priority list for updating and improving the current park facilities. Options on how to include additional open space, free play spaces, and additional rectangle fields are also being explored. Staff is also working on the Brushy Creek Greenway and Nalley Brown Nature Preserve to compliment the Doodle Trail and park system while adding additional passive trail systems throughout the City.

The Hospitality Fund has seen a continued growth from \$1.5 million in FY 13-14 to being on pace to top \$2 million in FY 17-18. This growth has allowed bonds to be issued from the construction of the Doodle Trail and Downtown connection. The Bond for the Bagwell Gym is also expiring and will reduce our bond payments by over \$500,000 per year. Between the growth in revenue and expiring debt, the City has the opportunity to issue bonds the first part of 2019 to implement the Master Plan and address projects that may arise.



There are indeed exciting opportunities on the horizon, but we are also tasked with providing quality services day to day. This requires us to address the major aspects of our operations - Employees and Equipment.

Employees

Employees are the backbone of the City and help to dictate the quality of services provided to the residences. One of the goals in this budget is to ensure that the City can compete for the highest quality of candidates, and then continue to keep them. To this end, the 2018-19 budget includes:

- A 1% cost-of-living adjustment (COLA) for all full and part-time employees effective July 1, 2018-19. All pay bands will be increased to reflect.
- Continues with the State Health Plan to keep the City's and employees cost lower than in previous years.
- Absorbing the proposed 1% increase to the employer's contribution portion of the State Retirement System.
- Incorporates a new pay scale for our firefighters to ensure competitive salaries and reflect increases tied to long term training opportunities. This will help to ensure that we keep the highest trained and tenured employee at the City.

There were two topics that arose during budget meetings with Department Heads and committee meetings with Councilmembers that are not addressed in this budget, but need to be discussed in the future:

- A City-wide longevity policy and corresponding one-time bonus or pay increase to recognize those that dedicate their career to the City.
- An education reimbursement policy to help employees that seek to further their education by covering a portion of their costs.

Both of these items would need to be discussed with Council, drafted, and then adopted as part of the Personnel Manual.

Health Insurance / Wellness

In January 1, 2017 the City moved to the State Health Insurance Plan through SC PEBA. This has improved the benefits offered to employees and provided an even larger savings to the City in the long run. The City is looking at a .04% increase in January 2019. This is a negligible increase and pales in comparison to the 20-30% increases we were looking at before changing.

The budget recommends continuing funding the gym membership reimbursement initiative for full-time employees wishing to participate. The plan states that any full-time employee that visits a participating gym (as approved by the wellness committee) 36 times a quarter (January - March, April - June, July - September, and October - December) will receive up to \$75 per quarter depending on the gym they chose. \$7,500 is budgeted for this initiative.

The City is continuing to see the benefit of an on-site Nurse Practitioner 8 hours a week. This partnership with Greenville Hospital System has provided the basis for our wellness screenings and counseling. Employees have someone on site to visit for minor ailments, and this has saved numerous lost hours of productivity. They also provide flu shots and annual screenings for employees.

New Positions

During FY 17-18, City Council approved the creation of a Planning and Project Manager position. This position was filled in January 2018 and is reflected in the FY 18-19 budget.

The FY 18-19 budget also calls for the creation of one (1) position in the Cemetery/Grounds Maintenance department. This is to create a grounds maintenance and beautification position. This will be paid for through the \$60,000 that we were paying a contractor to maintain a few medians across the city.

Equipment Needs

Police

In a typical year, the city tries to replace five police cars. As general practice police cars should be replaced more frequently than your average vehicle. Due to the nature of the job police cruisers are driven much more aggressively than your typical vehicle which lends itself to more wear and tear on the car. This activity necessitates their replacement more frequently. The current replacement of five (5) cars per year puts the entire fleet at a ten (10) year replacement cycle.

The Police Chief and I have been researching options to shorten this cycle and have found an option that we support. We are proposing a capital lease option through Enterprise Fleet Management. This option would see every vehicle replaced after 3 years of service and provide an estimated savings of \$175,000 during the first three (3) years. The estimated cost through the first six (6) years of the lease is \$55,000 higher than if we budgeted at the current level during the same time period. This also assumes that we will get the lowest estimated amounts for the vehicles that we sale. We would anticipate that the \$55,000 would be the highest amount we would see.

Fire Department

There is \$550,000 recommended in the FY 18-19 budget for the purchase of a new Fire Engine. This will replace a 1989 Custom Spartan Chassis Fire Engine. It is recommended that this be a 10-year lease purchase. There is a \$46,000/year lease purchase that will expire in FY 18-19 that will almost cover the payment amount of this truck. They also have a \$62,000 lease purchase payment expiring in FY 19-20.

Public Works/Stormwater

There is \$190,000 recommended to purchase a new one-man leaf truck with a boom arm vacuum. This item is recommended to be financed over 5 years as a lease purchase. This will provide an additional one-man truck to replace the pull behind leaf vacuum. This will allow us to be more efficient in operations and have the two pull behinds as extras during leaf season.

The is \$225,000 recommended in the Stormwater budget to purchase a street sweeper. This item is recommended to be financed over 5 years as a lease purchase. This will allow the City to clean streets, parking lots, and clean out storm drains on a regular basis. The goal is to cover the entire city once a month to reduce potential stormwater issues.

Parks and Recreation

The Parks and Recreation budget includes funding for several pieces of equipment. There is \$20,000 allotted to replace two (2) Z cut movers and \$22,000 extra in contract services to lease a Laser Grader, Jacobsen Mower, and a Ventrac tractor. The Ventrac tractor can also be used to maintain right-of-ways throughout the City. These are items that are used to maintain the playing fields in proper conditions and will either replace aging equipment or allow us to stop from contracting out the work.

The Hospitality Budget includes \$75,000 for facility upgrades and repairs. These items come up through use and the age of the facility and are unknown until they appear. They include items like repairs to lights, bathroom facilities, and other equipment. The budget will need to be amended to reflect the potential bonding and their related projects.

Other item of interest

The FY 18-19 budget reflects the reorganizing of the Finance and City Council Departments. The City Administrator, City Clerk, Human Resources Director, and Marketing & Community Outreach positions will be merged with Council's budget to create the Administration Department. This leaves only Finance and Business Licenses under the Finance Department, and thus the line item becomes a better reflection of its title.

The budget includes:

- \$100,000 for the purchase and installation of software to replace CSI Smart fusion
- \$132,500 for special events throughout the year and Fourth of July festival and fireworks
- \$10,000 to replace aging Christmas Decorations in the Downtown
- \$36,575 for tourism related activities and events throughout the community
- \$113,000 for Stormwater system improvements throughout the community

Demolitions

The past few years, the city has funded the demolition of sub-standard structures within the city. It was a point of focus by City Council to try and reverse address this concern. Thus, \$50,000 was included in the FY 2014-15, 15-16, and 16-17 budgets to begin taking care of the backlog. Due to the progress that has been made, this budget decreased the amount to \$30,000 in FY 17-18. The FY 18-19 budget holds this amount at \$30,000. This will allow the City to continue to address this issue.

I would like to take this opportunity to personally thank all the department leaders and their staffs for their assistance in preparing this budget, and for the job they do to serve the citizens on Easley. I feel that this budget provides the City an opportunity to set a positive path for the future while not over extending our finances. It also provides better options to beatify, enhance, and restore pride in the community.

Sincerely,

Stephen Steese
City Administrator



EXECUTIVE SUMMARY

The projected revenues for all funds is \$17,351,750 including a General Fund budget of \$13,783,750. This represents an overall budgetary increase of 3.4% and a General Fund increase of 2.0% over the adopted 2017-18 operating budget, respectively. However, the proposed FY 18-19 General Fund budget is 2% less than the FY 17-18 budget when you remove revenues from Lease Purchases in both years.

GENERAL FUND

The General Fund accounts for the revenues and expenditures necessary to carry out basic governmental activities of the City such as police and fire protection, recreation, refuse disposal, and legal and administrative services. All financial transactions not accounted for in other funds are recorded in the General Fund.

General Fund Revenues

General Fund Revenues in 2018-19 are projected to increase by 2.0% from the current year's adopted budget.

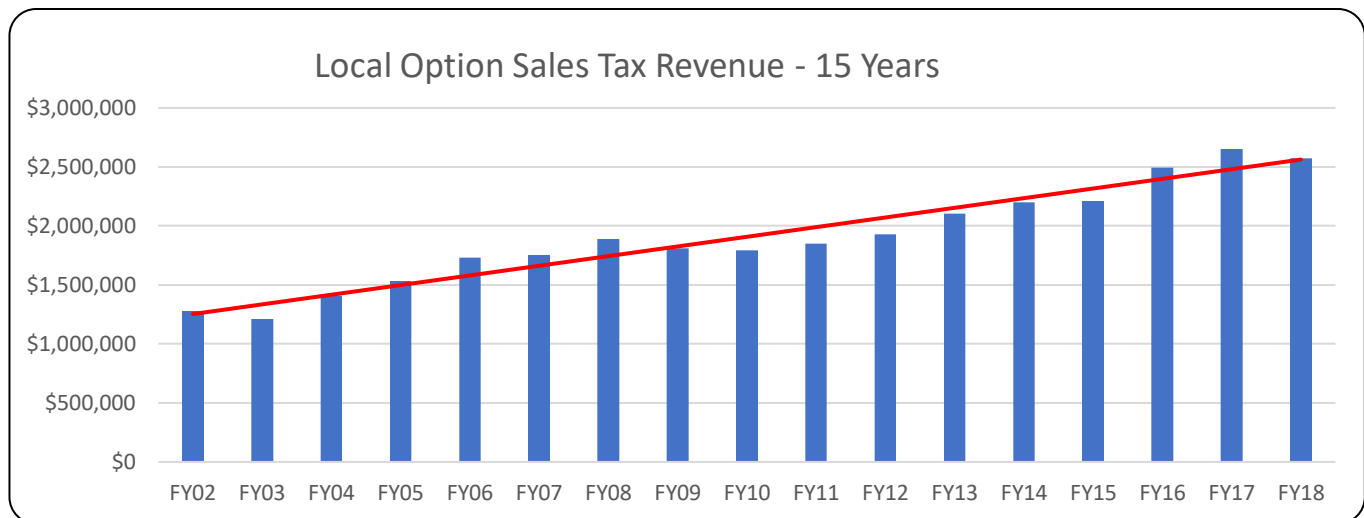
General Fund Revenues	FY 17-18 Budget	FY 18-19 Proposed	Percent Change
Property Tax (68 mills)	\$2,533,500	\$2,609,000	3.0%
Sales Tax	\$2,575,000	\$2,750,000	6.8%
Franchise & Other Fees/Taxes	\$2,565,500	\$2,543,500	-0.9%
License & Permits	\$2,978,500	\$3,092,500	3.8%
Intergovernmental	\$676,159	\$624,000	-7.7%
Other	\$0	\$0	0.0%
Charges for Service	\$525,500	\$535,500	1.9%
Public Safety	\$25,000	\$20,000	-20.0%
Fines	\$927,000	\$402,500	-56.6%
Interest	\$1,000	\$1,000	0.0%
Rental Income	\$45,000	\$25,000	-44.4%
Other Income	\$8,000	\$8,000	0.0%
Transfers	\$435,000	\$357,750	-17.8%
Sale of Fixed Assets	\$20,000	\$50,000	150.0%
Lease Purchase	\$150,000	\$740,000	393.3%
Miscellaneous Income	\$44,600	\$25,000	-43.9%
	13,509,759	13,783,750	2.0%

Property taxes comprise about 19% of all General Fund revenues. The tax levy on a piece of property is determined by market value, assessment ratio, and millage rate. Market value is determined by the Pickens County Tax Assessor's Office using a variety of factors such as size, condition, location, and recent selling prices of comparable properties. Assessment ratio is a percentage which is multiplied by the appraised market value of a property to determine the assessed value. Owner-occupied residences are assessed at 4%, commercial properties at 6%, motor vehicles at 6%, personal property at 10%, and industrial and utilities at 10.5%. The Property tax rate for FY 18-19 is proposed to increase from 65 mills to 68 mills. The 3-millage increase will be pledged for the GO Bond payment for construction of the new Public Works facility and Fire Station 1/Fire Administrative Office. The table below shows the tax calculations for the 2015-2017 tax years and shows the estimated tax rate for 2018. This 2018 number is based on the City's tax credit adjusting based on the past 5-year average change. This would provide an estimated \$3.50 increase in a \$150,000 home. The City will not know out LOST discount rate until after the budget is adopted.

Tax Analysis Residential				
	2015 tax	2016 tax	2017 tax	2018 tax
Property Value	\$ 150,000	\$ 150,000	\$ 150,000	\$ 150,000
Assessment Ratio	\$ 6,000	\$ 6,000	\$ 6,000	\$ 6,000
Millage	0.062	0.065	0.065	0.068
City Tax	\$ 372.00	\$ 390.00	\$ 390.00	\$ 408.00
County Operations	\$ 331.80	\$ 331.80	\$ 331.80	\$ 331.80
County Bond	\$ 24.00	\$ 24.00	\$ 24.00	\$ 24.00
School Bond	\$ 319.20	\$ 324.00	\$ 324.00	\$ 324.00
School Operations	\$ 672.00	\$ 684.00	\$ 684.00	\$ 684.00
Tri-County	\$ 15.60	\$ 15.60	\$ 15.60	\$ 15.60
Library	\$ 37.80	\$ 37.80	\$ 37.80	\$ 37.80
County Tax Credit	\$ (138.00)	\$ (168.45)	\$ (173.55)	\$ (173.55)
City Tax Credit	\$ (221.10)	\$ (259.35)	\$ (273.90)	\$ (288.45)
School Tax Savings	\$ (672.00)	\$ (684.00)	\$ (684.00)	\$ (684.00)
Gross Tax	\$ 741.30	\$ 695.40	\$ 675.75	\$ 679.20
Stormwater Fee	\$ 28.00	\$ 28.00	\$ 28.00	\$ 28.00
Total Tax Bill	\$ 769.30	\$ 723.40	\$ 703.75	\$ 707.20
Total City	\$ 178.90	\$ 158.65	\$ 144.10	\$ 147.55
County	\$ 271.20	\$ 240.75	\$ 235.65	\$ 235.65
School	\$ 319.20	\$ 324.00	\$ 324.00	\$ 324.00
City	\$ 178.90	\$ 158.65	\$ 144.10	\$ 147.55
Total Taxes	\$ 769.30	\$ 723.40	\$ 703.75	\$ 707.20

Local Option Sales Tax (LOST) is received monthly via a statement from the South Carolina Department of Revenue for the 1% Local Option Sales Tax collected. 100% of the LOST revenues are used to defray property taxes. The proposed property tax millage increase for FY 18-19 will result in a small increase to property tax bills due to the increase in the discount provided by Local Option Sales Tax (LOST) not quite canceling the millage increase. The rebound in sales has led to the increased LOST discount, lower property tax revenues, and higher Hospitality Tax collections. The LOST income is expected to account for 19% of the General Fund budget in FY 18-19.

The chart below outlines how the LOST has rebounded from the recession and has continued to mirror population growth in and around the City.



Licenses, permits and fees represent the City's revenue source comprising approximately 22% of all General Fund revenues. The most significant source is the business license tax, which a levy is based upon each \$1,000 of gross receipts, sales, or premiums of business conducted within the corporate limits of the City. The projection of \$3,092,500 in business license receipts (excluding franchise fees) is a slight increase from the 2017-18 forecast of \$2,978,500. This is based on an increase in Business License revenues and Insurance tax collected by the MASC.

Franchise fees comprise about 19% of all General Fund revenues. Revenues in this category include franchise fees for electric, gas, and cable television. The rate structure is based upon a certain percentage of gross receipts in each case, and the basis of each forecast is trend analysis along with current market conditions. Projected revenues from all franchise fees for FY 18-19 are \$2,543,500 and represents this revenue source decreasing \$22,000 from the 2017-18 figure of \$2,565,500. The primary reason for the decrease is revenue from Fort Hill Natural Gas. This is based on the mild winter weather that we have seen the past two years.

Intergovernmental revenue includes grants and allocations from county, state, and federal governments. State-shared revenue is generally distributed on a pro-rata basis per population or other set formula. The Aid to Subdivision revenue is distributed quarterly from the Local Government Fund and funded by a transfer of 4.5% of state general fund revenues. Counties receive 83.28% and municipalities 16.72% of the distribution. The revenue forecast from Aid to Subdivisions is expected to be \$435,000 for 2018-19. This reflects the city receiving over \$166,000 less than what is mandated by statute. The budget for the State has not been completed, but this budget assumes that the State will continue to not fully fund the Local Government Fund. Currently our short fall is more than \$1,000,000 over the past 6 years.

FY15 Distribution	FY16 Distribution	FY17 Distribution	FY18 Distribution	FY19 Statute	FY19 Distribution (House)	FY19 Amount not Funded
\$431,355	\$431,355	\$452,839	\$431,355	\$663,775	\$431,335	-\$182,577

Other Revenues make up the remainder of the General Fund revenues. They consist of transfers from other city funds. The City transfers their tax collection from the Town Center TIF District, a formula transfer from Accommodations Tax, and \$150,000 from Stormwater to cover the cost of the Stormwater Engineer and support staff for this service.

The City is also budgeting for \$740,000 in financing to cover the cost of a new leaf truck and fire engine.

There is also a Fines revenue source that is made up almost entirely of Court Fine and Fees. The number used for Court Fines has been changed to reflect the City's actual revenue. The State of South Carolina uses the city's court revenues to suggest that we are profiting from operating a municipal court. The City does not get to keep all of these fees, as almost 60% of the revenue is earmarked to the State of South Carolina. We are budgeted to make \$400,000 after adjusting for what we send to the State, and the Court expenses are budget at \$401,000.

General Fund Expenditures

A summary of General Fund expenditures for 2018-19 is shown in the following table along with the percent change from the adopted 2017-18 operating budget. Total expected expenditures for FY 18-19 are expected to increase by 2.4%.

General Fund Expenditures	FY 17-18 Budget	FY 18-19 Budget	% Change
General Government	\$852,617	\$866,271	1.6%
Administration	\$120,650	\$492,519	518.4%
Municipal Court	\$940,063	\$401,440	-57.3%
Finance	\$727,508	\$378,587	-48.0%
Police	\$4,115,237	\$4,282,893	4.1%
Fire	\$2,498,673	\$2,932,155	17.3%
Planning & Development	\$319,769	\$423,511	32.4%
PW-Streets	\$1,572,384	\$1,553,270	-1.2%
PW-Solid Waste & Recycling	\$1,348,128	\$1,405,188	4.2%
PW-Cemetery	\$61,872	\$122,732	98.4%
Recreation	\$901,585	\$925,183	2.6%
	\$13,458,484	\$13,783,750	2.7%

Funding Highlights

General

Despite the challenging economy the General Fund maintains the excellent level of service that our citizens have come to expect.

Personnel Changes

This budget includes one (1) new position in the Cemetery Department. The position will be paid for by the cancellation of the \$60,000 contract for maintenance of plantings throughout the City. Council did approve the creation of a Planning and Project Manager position during the FY 17-18 budget, and this position is reflected in the Planning and Development Department. There is also a new expense category called Administration. This reflects the City Administrator, City Clerk, HR Director, and Marketing and Community Outreach positions being moved from Finance and combined with City Council.

Departmental Highlights

- The *General Government Budget* includes \$328,097 in funding for annual debt and lease purchase payments. This is an increase of \$30,000 from FY 17-18. This reflects the lease purchase financing for the 2017 Brush Truck. The General Government also has \$100,000 in IT services as we continue to upgrade our systems and connect all city facilities with fiber, phones, and security systems. The total cost for retiree insurance has been added under this section to identify the true cost of our Post-Employment Benefits in the budget. There is also \$100,000 for new software to replace CSI.
- The *Finance Department* has \$21,500 is funded for annual external audit, and reflects the removal of four (4) position to the Administration Department.
- The *Court* budget assumes that the \$25,000 for indigent defense that was an unfunded mandate from the State in FY 15-16, 16-17, and 17-18 will continue in FY 18-19.
- The *Fire Department* budget includes \$550,000 purchase a new Fire engine to replace a 1988 Engine. They also have \$10,000 in Equipment to purchase new nozzles for their trucks.
- In the *Streets Division*, \$450,000 is funded for utilities such as street and stop lights. This has decreased over the last few years as Easley Combined Utilities has continued to replace old halogen lights with more energy efficient LED fixtures, but has level off the past couple of years. There are no major capital requests under the Street division this year.
- The *Sanitation Department* shows the cost for a new boom arm leaf truck to replace the two (2) pull behind leaf vacuums in regular service. They also show a decreased cost for vehicle maintenance that reflects the upgrade in major equipment that has occurred the past few years.
- In the *Police Department*, the budget includes a decrease of \$12,500 for prisoner expense, \$135,000 for vehicles, and \$5,000 in Drug Buy Money.

Special Revenue Funds

Special revenue funds are used to account for the proceeds of specific revenue sources that are restricted by law or administrative action to expenditures for specific purposes. Annual budgets are established for the following special revenue funds: Community Development Administration, Hospitality Tax, Accommodations Tax, Local Accommodations Tax, Victim Rights, Law Enforcement Fund, Fire Fund and Recreation Fund.

Community Development Administration

The Community Development Fund is used to record receipts and expenditures of Community Development Block Grant funds. \$14,000 in revenue is budgeted for 2018-19 and \$26,500 in expenses are budgeted. The largest part of expenses is \$23,000 to pay the remainder of the Main Street Challenges that have been awarded.

Hospitality Tax

Through an Ordinance passed in 2000, the City enacted the levy of one percent (1%) local hospitality tax on prepared meals and beverages in the City. In 2005 through an amendment the City increased the levy to a maximum two percent (2%). The proceeds are to be used for tourist related improvements and facilities. The collection and use of the tax is governed by Article 7, "Local Hospitality Tax," of Chapter 1, Title 6 of the South Carolina Code of Laws.

The 2018-19 budget estimates revenue of \$1,900,000 and includes \$1,134,619 in eligible Parks and Recreation expenditures to assist in funding maintenance and upkeep at the J.B. "Red" Owens Recreation Complex and Larry D. Bagwell gymnasium. These funds also include the costs associated with putting on the City's Athletics and Recreational events. In addition, \$741,881 is budgeted for debt service on the 2010 Bagwell Gym, 2014 Doodle Trail, and 2016 Doodle Trail bonds.

The 2018-19 Hospitality tax budget also includes \$95,000 for facilities repairs and improvement, plus an additional \$132,500 for Special Events.

Accommodations Tax

The Accommodations Tax Fund is used to record the proceeds and allocations of a 2% tax imposed on all accommodations by the State. Revenue collected from the tax is divided among localities based on the amount of revenue generated within each jurisdiction.

The proceeds must be spent for tourism promotion and related expenditures. Revenues of \$80,000 are estimated for 2018-19. Following transfers of \$27,750 to the General Fund and \$15,675 to the Easley Chamber of Commerce, the remaining balance is estimated to be \$36,575. Of this discretionary amount, the Accommodations Tax Advisory Committee will make a recommendation to the City Council for the allocation of these funds. This recommendation usually comes to Council in November in the form of a Budget Amendment.

Local Accommodations Tax

The Accommodation Fee represents a 1.5% levy that is collected from accommodation facilities located within the City's jurisdiction. This tax is very similar to the State Accommodations Tax and is levied on every person engaged in the business of furnishing accommodations for transients within the jurisdiction of the City. The uses of the money are very similar to the State Accommodations Tax and Hospitality Taxes in that the monies can only be used for tourism related purposes.

The City is budgeting \$75,000 in revenue and \$75,000 in expenditures to help advertise, promote, and market the City with focus on the Recreation Department and City Events that bring people into the City. The goal is to attract tournaments, promote our programs, and increase use of our facilities.

Law Enforcement Fund

The Law Enforcement Fund is separated into two portions, a restricted holding account and an unrestricted account. Funds in the restricted holding account are monies that the City has secured through arrests and must hold until the case in question is disposed. If the defendant is found to be innocent or not guilty the monies in question will be returned. If the defendant is found guilty the monies may be transferred to the unrestricted account and can be used by the Police department for law enforcement activities with approval from City Council. Monies in the Law Enforcement Fund must be used for Police related activities.

The 2018-19 budget includes \$200,000 in funding to assist in purchases to support the drug enforcement of the Police Department. The funds can potentially be used for vehicles, cameras, equipment, or other items to support operations.

Enterprise Funds

Enterprise funds are used to account for operations that are financed and operated in a manner similar to private business enterprises. The intent is that the costs of providing goods or services to the general public and other local governments on a continuing basis will be financed or recovered primarily through user charges. Annual budgets are established for Stormwater Management.

Stormwater Management

Stormwater fees are levied to support the stormwater management program. The fee is based on impervious surface areas of residential and commercial property. The flat rate structure is proposed to be \$28 per year for both developed residential and for equivalent residential units of developed commercial/industrial property. The 2018-19 revenue estimate is \$650,000, with \$425,000 coming from fees and \$225,000 coming from lease purchase financing.

Budgeted expenditures for 18-19 are \$600,000, with \$150,000 budgeted to be transferred to the General Fund. These funds include \$75,000 to cover the cost of the city's Stormwater Engineer position that is under the Street Department. \$80,000 goes to offset the staff and equipment cost to work on the stormwater projects and issues throughout the year. There is also \$113,000 funded for drainage improvements and projects, \$2,500 in permit fees, and \$5,000 for public education.

The Stormwater Fund has been repaying the General Fund back over \$1,000,000 that was used on the Oak Creek Stormwater Project. This is expected to be paid down to under \$100,000 after FY 17-18 and is recommended to be forgiven. This will allow the Stormwater Fund to begin making needed repairs to the system.

Debt Service Funds

Debt Service Funds are established to account for the accumulation of resources for, and the payment of, general long-term debt principal and interest payments. Under state law, municipalities can only issue two forms of long-term debt: general obligation bonds and revenue bonds. The City of Easley has used tax increment bonds as a means of financing capital improvements, and these debt instruments are also classified as a form of revenue bonds. The debt service payments associated with the Certificates of Participation, Series 2006, are accounted for in the Hospitality Tax Special Revenue fund.

General Debt Service

General Debt Service in the 2018-19 budget is \$298,701. This includes \$70,192 for interest and \$228,509 is for reduction of principal. The City's overall debt service position has improved the last few year, and will begin to level off as the large debts have been retired. It is recommended that \$150,000 for a new brush truck be done through a 5-year financing. This will replace the 2013B GO Bond debt payment of \$280,000 with about \$35,000 in payments annually. This will leave the City in excellent long term standing on our debt ratio and for bonding potential. A debt chart is shown below.

Principal	FY 15-16	FY 16-17	FY 17-18	FY 18-19	FY 19-20	FY 20-21	FY 21-22
2005/2013A GO Bond	\$ 275,000	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
2004 Lease - Fire Truck	\$ 41,000	\$ 41,000	\$ 41,000	\$ 41,000			
2014 Lease - Fire Truck	\$ 57,879	\$ 59,385	\$ 60,146	\$ 60,909	\$ 61,681	\$ -	\$ -
2013B GO - Refinance - 2010 GO	\$ 275,000	\$ 280,000	\$ -	\$ -	\$ -	\$ -	\$ -
2009 GO - Police and Court	\$ 95,000	\$ 100,000	\$ 100,000	\$ 105,000	\$ 110,000	\$ 115,000	\$ 120,000
2017 Lease - Brush Truck			\$ 27,362	\$ 27,910	\$ 28,468	\$ 29,037	\$ 29,618
2018 Lease - Trash Truck				\$ 25,373	\$ 26,081	\$ 26,809	\$ 27,557
2019 Lease - Fire Engine					\$ 50,000	\$ 50,000	\$ 50,000
2019 Lease - Leaf Truck					\$ 25,000	\$ 25,000	\$ 25,000
2019 GO Bond (Fire & PW) - \$5,000,000					\$ 50,000	\$ 50,000	\$ 55,000
	\$ 743,879	\$ 480,385	\$ 228,509	\$ 260,191	\$ 351,229	\$ 295,846	\$ 307,175
Interest							
2005/2013A GO Bond	\$ 2,943	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
2004 Lease - Fire Truck	\$ 5,792	\$ 5,792	\$ 5,792	\$ 5,792			
2014 Lease - Fire Truck	\$ 4,583	\$ 3,077	\$ 2,316	\$ 1,554	\$ 782	\$ -	\$ -
2013B GO - Refinance - 2010 GO	\$ 4,760	\$ 1,596	\$ -	\$ -	\$ -	\$ -	\$ -
2009 GO - Police and Court	\$ 68,440	\$ 63,956	\$ 59,236	\$ 54,516	\$ 49,560	\$ 44,368	\$ 38,940
2017 Lease - Brush Truck			\$ 2,848	\$ 2,301	\$ 1,742	\$ 1,173	\$ 592
2018 Lease - Trash Truck				\$ 3,743	\$ 3,035	\$ 2,307	\$ 1,559
2019 Lease - Fire Engine					\$ 5,000	\$ 4,500	\$ 4,000
2019 Lease - Leaf Truck					\$ 2,500	\$ 2,500	\$ 2,500
2019 GO Bond (Fire & PW) \$5,000,000				\$ 115,989	\$ 198,838	\$ 196,338	\$ 193,838
	\$ 86,517	\$ 74,421	\$ 70,192	\$ 183,894	\$ 261,457	\$ 251,186	\$ 241,429
Total P & I	\$ 830,396	\$ 554,806	\$ 298,701	\$ 444,085	\$ 612,686	\$ 547,032	\$ 548,604

Tax Increment Fund

The Downtown Tax increment bonds expire in FY 17-18. The City worked with the County and School District to extend this for ten (10) additional years. This City is currently in the processing of bonding against the revenues from this District. Projects are also being designed and submitted for approval to begin during the spring/summer period of 2018.

SUMMARY OF ALL FUNDS

General Fund Revenues	FY 17-18 Budget	FY 18-19 Budget	Percent Change
Property Tax	\$2,533,500	\$2,609,000	3.0%
Sales Tax	\$2,575,000	\$2,750,000	6.8%
Franchise & Other Fees/Taxes	\$2,565,500	\$2,543,500	-0.9%
License & Permits	\$2,978,500	\$3,092,500	3.8%
Intergovernmental	\$676,159	\$624,000	-7.7%
Charges for Service	\$0	\$0	0.0%
Public Safety	\$525,500	\$535,500	1.9%
Fines	\$25,000	\$20,000	-20.0%
Interest	\$927,000	\$402,500	-56.6%
Rental Income	\$1,000	\$1,000	0.0%
Other Income	\$45,000	\$25,000	-44.4%
Transfers	\$8,000	\$8,000	0.0%
Sale of Fixed Assets	\$435,000	\$357,750	-17.8%
Lease Purchase	\$20,000	\$50,000	150.0%
Miscellaneous Income	\$150,000	\$740,000	393.3%
Fund Balance Appropriation	\$44,600	\$25,000	-43.9%
TOTAL REVENUES	13,509,759	13,783,750	2.0%

General Fund Expenditures	FY 17-18 Budget	FY 18-19 Budget	Percent Change
General Government	\$852,617	\$866,271	1.6%
Administration	\$120,650	\$492,519	308.2%
Municipal Court	\$940,063	\$401,440	-57.3%
Finance	\$727,507	\$378,587	-48.0%
Police	\$4,166,511	\$4,282,893	2.8%
Fire	\$2,498,672	\$2,932,155	17.3%
Planning & Development	\$319,769	\$423,511	32.4%
PW-Streets	\$1,572,384	\$1,553,270	-1.2%
PW-Solid Waste & Recycling	\$1,348,128	\$1,405,188	4.2%
PW-Cemetery	\$61,872	\$122,732	98.4%
Recreation	\$901,586	\$925,183	2.6%

TOTAL EXPENDITURES	\$13,509,759	\$13,783,750	2.0%
SPECIAL REVENUE FUNDS	FY 17-18 Budget	FY 18-19 Budget	Percent Change
Revenues/Transfers In			
Community Development Administration	\$80,500	\$14,000	-82.6%
Hospitality Tax/Rec Fund	\$2,050,000	\$2,104,000	2.6%
Accommodations Tax	\$80,000	\$80,000	0%
Local Accommodations Tax	\$75,000	\$75,000	0%
Victims Advocate Fund	\$57,000	\$55,000	-3.5%
Law Enforcement Fund	\$10,000	\$10,000	0%
Fire Fund	\$65,000	\$65,000	0%
TOTAL REVENUES/TRANSFERS IN	\$2,417,500	\$2,403,000	-0.6%
Expenditures/Transfers Out			
Community Development Administration	\$80,500	\$26,500	-67.1%
Hospitality Tax/Rec Fund	\$2,085,000	\$2,104,000	0.9%
Accommodations Tax	\$80,000	\$80,000	0%
Local Accommodations Tax	\$75,000	\$75,000	0%
Victims Advocate Fund	\$54,677	\$58,208	6.5%
Law Enforcement Fund	\$50,000	\$200,000	300%
Fire Fund	\$65,000	\$65,000	0%
TOTAL EXPENDITURES/TRANSFER OUT	\$2,490,177	\$2,608,708	4.8%
REVENUE LESS EXPENDITURES	(\$72,677)	(\$205,708)	

ENTERPRISE FUNDS	FY 17-18 Budget	FY 18-19 Budget	Percent Change
Revenues/Transfers In			
Stormwater Management	\$400,000	\$650,000	62.5%
TOTAL REVENUES/TRANSFERS IN	\$400,000	\$650,000	62.5%
Expenditures/Transfers Out			
Stormwater Management	\$400,000	\$600,000	50.0%
TOTAL EXPENDITURES/TRANSFER OUT	\$400,000	\$600,000	50.0%
REVENUE LESS EXPENDITURES	\$0	\$50,000	

DEBT SERVICE FUNDS		FY 17-18	FY 18-19	Percent
		Budget	Budget	Change
Revenues/Transfers In				
Tax Increment Fund		\$500,000	\$515,000	3.0%
TOTAL REVENUES/TRANSFERS IN		\$500,000	\$515,000	3.0%
Expenditures/Transfers Out				
Tax Increment Fund		\$612,887	\$515,000	-15.9%
TOTAL EXPENDITURES/TRANSFER OUT		\$612,887	\$515,000	-15.9%
REVENUE LESS EXPENDITURES		-\$112,887	\$0	



GENERAL FUND

The General Fund is used to account for all revenues and expenditures applicable to general operations of the City and is used to record all financial transactions not required to be accounted for in other funds.

The General Fund accounts for the revenues and expenditures necessary to carry out basic governmental activities of the City such as police protection, fire protection, recreation, refuse disposal, and administrative services. Appropriations are made from the fund annually. The fund will exist indefinitely.

FY 2018-19 GENERAL FUND ALL REVENUES AND EXPENDITURES

General Fund Revenues	FY16 Actual	FY17 Actual	FY18 Budget	FY19 Proposed	Percent Change
Property Tax	\$2,665,951	\$2,413,027	\$2,533,500	\$2,609,000	3.0%
Sales Tax	\$2,492,235	\$2,688,702	\$2,575,000	\$2,750,000	6.8%
Franchise & Other Fees/Taxes	\$2,303,046	\$2,614,499	\$2,565,500	\$2,543,500	-0.9%
License & Permits	\$2,921,165	\$3,281,003	\$2,978,500	\$3,092,500	3.8%
Intergovernmental	\$623,479	\$635,761	\$676,159	\$624,000	-7.7%
Other	\$96,573	\$1,156	\$0	\$0	0.0%
Charges for Service	\$490,718	\$517,892	\$525,500	\$535,500	1.9%
Public Safety	\$32,224	\$14,935	\$25,000	\$20,000	-20.0%
Fines	\$847,217	\$631,103	\$927,000	\$402,500	-56.6%
Interest	\$1,447	\$683	\$1,000	\$1,000	0.0%
Rental Income	\$46,324	\$45,530	\$45,000	\$25,000	-44.4%
Other Income	\$8,497	\$7,824	\$8,000	\$8,000	0.0%
Transfers	\$320,000	\$309,922	\$435,000	\$357,750	-17.8%
Sale of Fixed Assets	\$0	\$80,000	\$20,000	\$50,000	150.0%
Lease Purchase	\$0	\$142,395	\$150,000	\$740,000	393.3%
Miscellaneous Income	\$49,431	\$88,047	\$44,600	\$25,000	-43.9%
	12,898,308	13,472,479	13,509,759	13,783,750	2.0%
General Fund Expenditures	FY16 Actual	FY17 Actual	FY18 Budget	FY19 Proposed	Percent Change
General Government	\$1,429,861	\$1,064,541	\$852,617	\$866,271	1.6%
Administration	\$114,239	\$109,860	\$120,650	\$492,519	308.2%
Municipal Court	\$845,987	\$790,619	\$940,063	\$401,440	-57.3%
Finance	\$605,410	\$663,249	\$727,507	\$378,587	-48.0%
Police	\$3,867,109	\$3,889,469	\$4,166,511	\$4,282,893	2.8%
Fire	\$2,478,776	\$2,463,768	\$2,498,672	\$2,932,155	17.3%
Planning & Development	\$314,388	\$287,413	\$319,769	\$423,511	32.4%
PW-Streets	\$1,421,848	\$1,560,324	\$1,572,384	\$1,553,270	-1.2%
PW-Solid Waste & Recycling	\$1,275,614	\$1,406,926	\$1,348,128	\$1,405,188	4.2%
PW-Cemetery	\$70,445	\$56,372	\$61,872	\$122,732	98.4%
Recreation	\$919,516	\$885,599	\$901,586	\$925,183	2.6%
	\$13,343,192	\$13,178,139	\$13,509,759	\$13,783,750	2.0%



GENERAL FUND DEPARTMENTAL BUDGETS

ADMINISTRATION (MAYOR AND COUNCIL)

Under the Mayor-Council form of government, Section 5-9-10 et seq., of the South Carolina Code, the City Council is the governing body of the City of Easley. Its membership includes the Mayor, elected at large, and six Council members elected to staggered four-year terms. The Mayor serves as the presiding officer at City Council meetings. The Mayor and members of City Council represent the City in a variety of functions; they hold positions and powers as provided by City code, they exercise political leadership to develop consensus and form coalitions on issues of community interest. Legislative policy direction is provided to the City Administrator who is responsible for the operations of City government. Open City Council meetings are held on the second Monday of each month.

ADMINISTRATION			
	2016-17	2017-18	2018-19
	<u>Actual</u>	<u>Budget</u>	<u>Proposed</u>
EXPENDITURES			
Personnel Services	\$68,876	\$77,650	\$434,469
Operating Expenses	40,984	43,000	56,550
Capital Outlay	-	-	1,500
TOTAL EXPENDITURES	\$109,860	\$120,650	\$492,519
ELECTED OFFICIALS			
Elected Officials	7	7	7
TOTAL ELECTED OFFICIALS	7	7	7
STAFFING - FULL TIME			
City Administrator	1	1	1
Clerk to Council	1	1	1
Human Resources	0	1	1
Marketing and Events	1	1	1
TOTAL STAFFING - FT	3	4	4

FY 2018-19 BUDGET HIGHLIGHTS

- Funding includes MASC membership fees
- The increase reflects the cost of moving four (4) full-time employees from the Finance Department to this new Administration Department.

MUNICIPAL COURT

The municipal court has jurisdiction of all offenses which may be subject to the penalty of a fine not exceeding five hundred dollars or 30 days or both, with the exception of criminal domestic violence and driving under suspension cases. Criminal domestic violence carries a maximum penalty of 30 days or \$5,237; driving under suspension violations carries a maximum penalty of \$2,100 and up to 180 days in jail. The court also issues search warrants, bench warrants and arrest warrants. Arrest warrants are issued for any traffic or criminal case which occurs within its jurisdiction. Preliminary hearings are also held for general session court cases.

MUNICIPAL COURT			
	2016-17	2017-18	2018-19
	<u>Actual</u>	<u>Budget</u>	<u>Proposed</u>
EXPENDITURES			
Personnel Services	\$295,406	\$302,563	\$307,240
Operating Expenses	61,700	90,500	76,700
Capital Outlay	547,000	547,000	17,500
TOTAL EXPENDITURES	\$904,106	\$940,063	\$401,440
STAFFING - FULL TIME			
Judicial	2	2	2
Administration	2	2	2
Court Processing	1	1	1
TOTAL STAFFING - FT	5	5	5
STAFFING - PART TIME			
Weekend Judge	2	2	2
TOTAL STAFFING - PT	2	2	2
TOTAL STAFFING	7	7	7

FY 2018-19 BUDGET HIGHLIGHTS

The Municipal Court budget reflects:

- Court fines and assessments are removed from the expenditure side, and the revenue side will now show the net revenue from the Court
- \$15,000 is budgeted for jury trials
- \$25,000 is budgeted for the unfunded Indigent Defense mandate that requires us to contract for this service.

PLANNING & DEVELOPMENT

The Planning and Development Department is responsible for the enforcement of building and property codes as adopted by ordinances, and statutes adopted by the City and the State. Codes are enforced by this department through permit issuance, and inspections. Codes enforced include the International Building Code, International Residential Code, International Fuel/Gas Code, International Mechanical Code, International Plumbing Code, International Property Maintenance Code, and National Electrical Code. Other codes and ordinances include the American National Standards for Accessibility, South Carolina General Contractor's law, South Carolina Residential Builder's law, and the City of Easley's Zoning Ordinance.

Planning & Development			
	2016-17	2017-18	2018-19
	<u>Actual</u>	<u>Budget</u>	<u>Proposed</u>
EXPENDITURES			
Personnel Services	\$229,979	\$231,819	\$339,361
Operating Expenses	56,866	87,950	81,650
Capital Outlay	568	0	2,500
TOTAL EXPENDITURES	\$287,413	\$319,769	\$423,511
STAFFING - FULL TIME			
Building Official	1	1	1
Building Inspector	1	1	1
Zoning Enforcement	1	1	1
Planning Director	0	1	1
Permit Clerk	1	1	1
TOTAL STAFFING - FT	4	5	5
TOTAL STAFFING	4	5	5

FY 2018-19 BUDGET HIGHLIGHTS

The Planning and Development Department budget reflects:

- \$30,000 for city-wide demolitions.
- Includes the new Planning and Project Manager position that was created in FY 17-18

GENERAL GOVERNMENT

City expenditures not directly related to specific departmental operations are reflected here.

GENERAL GOVERNMENT			
	2016-17	2017-18	2018-19
	<u>Actual</u>	<u>Budget</u>	<u>Proposed</u>
EXPENDITURES			
Operating Expenses	513,885	489,872	706,755
Contingency	0	75,000	0
Debt Service	550,359	287,745	159,516
TOTAL EXPENDITURES	\$1,064,245	\$852,617	\$866,271

FY 2018-19 BUDGET HIGHLIGHTS

The General Government budget reflects:

- \$159,516 in debt service payments
- \$168,581 is budget for lease purchase payments
- \$100,000 is budgeted for technology enhancements (replacement PC's, servers, phone system upgrade, Wi-Fi upgrade, etc.)
- \$100,000 is budgeted for new software to replace CSI Accounting Software
- \$15,000 is budgeted for community promotions.
- \$10,000 is budgeted to replace aging Christmas Decorations
- \$85,000 has been moved to this department to show the total cost of Retiree Insurance

FINANCE DEPARTMENT

The Finance Department includes the functions of City Administration, Treasury Management, City Clerk, Risk Management, Business Licenses, Budget Administration, Human Resource Administration, Marketing, and Special Events.

The City Administrator prepares the City's operating budget, monitors expenditures to help ensure compliance with appropriated funding levels, and prepares operating budget status reports. The internal auditor conducts financial compliance audits that examine the adequacy and effectiveness of financial and operational controls, determine the extent of compliance with established policies and procedures, and recommend improvements.

FINANCE			
	2016-17	2017-18	2018-19
	<u>Actual</u>	<u>Budget</u>	<u>Proposed</u>
EXPENDITURES			
Personnel Services	\$534,038	\$590,408	\$262,787
Operating Expenses	129,136	122,100	95,800
Capital Outlay	75	15,000	20,000
TOTAL EXPENDITURES	\$663,249	\$727,508	\$378,587
STAFFING - FULL TIME			
City Administrator	1	1	0
Administration	1	2	0
Finance	2	2	3
Business Licenses	2	2	1
Marketing - Events	1	1	0
TOTAL STAFFING - FT	7	8	4
Internal Auditor	1	1	0
TOTAL STAFFING - PT	1	1	0
TOTAL STAFFING	8	9	4

FY 2018-19 BUDGET HIGHLIGHTS

The Finance Department budget reflects:

- \$21,500 for annual audit contract
- \$29,000 for annual contract with Harris Technology
- \$20,000 budgeted for a new vehicle for Business Licenses
- Reflects four (4) FT positions being relocated to the Administration Department

POLICE DEPARTMENT

The Easley Police Department is the primary provider of law enforcement services for the City. The department follows conventional police practice by investing the majority of its efforts in routine patrol and investigation activities with smaller commitments to specialized divisions. Over 147 street miles are patrolled on a 24-hour, 365-day basis, using a patrol schedule that divides the City into sectors or beats.

POLICE			
	2016-17	2017-18	2018-19
	<u>Actual</u>	<u>Budget</u>	<u>Proposed</u>
EXPENDITURES			
Personnel Services	\$3,093,360	\$3,473,987	\$3,633,643
Operating Expenses	536,830	474,750	484,250
Capital Outlay	259,379	166,500	165,000
TOTAL EXPENDITURES	\$3,889,569	\$4,115,237	\$4,282,893
STAFFING - FULL TIME			
Police Chief	1	1	1
Police Major	1	1	1
Police Captain	2	2	2
Police Lieutenant	6	6	6
Police Sergeant	6	6	6
Police Officers	30	30	30
Dispatch	9	9	9
Records	2	2	2
TOTAL STAFFING - FT	57	57	57
Dispatch	0	0	0
TOTAL STAFFING - PT	0	0	0
TOTAL STAFFING	57	57	57

FY 2018-19 BUDGET HIGHLIGHTS

The Police Department's budget reflects:

- Includes \$135,000 to replace police vehicles
- Includes \$5,000 in drug buy money
- Includes \$40,000 in Overtime
- Includes \$5000 for Drug Buy Funds

FIRE DEPARTMENT

The City of Easley Fire Department primarily provides fire suppression, rescue, fire code enforcement, and fire prevention services. The Fire Suppression Division consists of three shifts which are staffed with seven personnel per shift. The Fire Department is responsible for all code enforcement, fire and life safety/new building inspections and pre-plans for the City. These forces operate from three strategically located fire stations located within the City. The Fire Chief also serves as the Emergency Management Coordinator for the City.

FIRE			
	2016-17	2017-18	2018-19
	<u>Actual</u>	<u>Budget</u>	<u>Proposed</u>
EXPENDITURES			
Personnel Services	\$1,850,956	\$1,967,923	\$1,919,155
Operating Expenses	515,984	461,250	453,000
Capital Outlay	96,829	69,500	560,000
TOTAL EXPENDITURES	\$2,463,768	\$2,498,673	\$2,932,155
STAFFING - FULL TIME			
Fire Chief	1	1	1
Asst. Fire Chief	1	1	1
Fire Marshall	1	1	1
Fire Captain	3	3	3
Fire Lieutenant	2	2	2
Fire Fighter	22	22	22
Administrative Assistant	1	1	1
TOTAL STAFFING - FT	31	31	31
TOTAL STAFFING	31	31	31

FY 2018-19 BUDGET HIGHLIGHTS

The Fire Department budget reflects:

- Includes \$15,000 to purchase lower level turnout gear to use for medical and accident call
- Includes \$85,000 for protective equipment and firefighting equipment
- Includes \$550,000 for the purchase of new Fire Engine to replace a 1989 Fire Engine
- Includes \$10,000 for lawn maintenance equipment for Stations 2 and 3

PUBLIC WORKS - STREETS & CEMETERY

The Public Works Street Division maintains 88 miles of City streets, performs construction/rehabilitation work on sidewalks, curb and gutter sections, and storm drainage systems. Repairs also include maintenance activities such as roadway patching, driveway repairs and improving sight distances at intersections. Pavement maintenance activities include roadway patching and driveway tie-ins. This Division is also responsible for the general maintenance of the City's cemetery.

PW-Streets & Cemetery			
	2016-17	2017-18	2018-19
	<u>Actual</u>	<u>Budget</u>	<u>Proposed</u>
EXPENDITURES			
Personnel Services	\$844,616	\$912,856	\$997,852
Operating Expenses	737,013	709,400	666,650
Capital Outlay	35,068	12,000	11,500
TOTAL EXPENDITURES	\$1,616,696	\$1,634,256	\$1,676,002
STAFFING - FULL TIME			
Supervisor	1	1	1
Shop Foreman	1	1	1
Mechanic	2	2	2
Crew Chief	2	2	2
Truck Driver	3	3	3
Equipment Operator	1	1	1
Laborer	9	9	10
Administrative Assistant	1	1	1
TOTAL STAFFING - FT	20	20	21
TOTAL STAFFING	20	20	21

FY 2018-19 BUDGET HIGHLIGHTS

The Streets and Cemetery Division budget reflects:

- \$450,000 for street and traffic lights
- Calls for hiring an additional Full-time employee to maintain right-of-ways and planted areas throughout the City. This will be funded from the \$60,000 contract we had for such services.
- Includes \$4,000 for remedial street repairs
- Includes \$12,000 for sign repair and replacements to meet new retro-reflectivity requirement

PUBLIC WORKS - SOLID WASTE AND RECYCLING DIVISION

The Solid Waste and Recycling Division, formally called the Sanitation Division, provides collection services to over 8100 customers each week. The Solid Waste and Recycling Division collects garbage, recyclables, yard waste (including seasonal leaf collection), along with discarded appliances and furniture.

PW-Solid Waste & Recycling			
	2016-17	2017-18	2018-19
	<u>Actual</u>	<u>Budget</u>	<u>Proposed</u>
EXPENDITURES			
Personnel Services	\$920,850	\$939,078	\$966,988
Operating Expenses	337,640	254,050	240,700
Capital Outlay	148,435	155,000	197,500
TOTAL EXPENDITURES	\$1,406,926	\$1,348,128	\$1,405,188
STAFFING - FULL TIME			
PW Director	1	1	1
Deputy PW Director	0	0	0
Supervisor	0	0	0
Truck Driver	7	7	7
Laborer	13	13	13
TOTAL STAFFING - FT	21	21	21
TOTAL STAFFING	21	21	21

FY 2018-19 BUDGET HIGHLIGHTS

The Solid Waste and Residential Collection Division budget reflects:

- \$190,000 for a new Leaf Vacuum truck
- \$67,500 for fuel
- \$4,000 for recycle containers

PARKS AND RECREATION

Parks and Recreation Administration provides supervision and administrative support for the City's recreational programs and facilities, and maintenance of public parks. Parks and Recreation promotes leisure opportunities through the news media, utilizes co-sponsors to enhance public awareness and participation, and serves as the City's liaison to community events and festivals.

Recreation			
	2016-17	2017-18	2018-19
	<u>Actual</u>	<u>Budget</u>	<u>Proposed</u>
EXPENDITURES			
Personnel Services	\$868,305	\$884,085	\$908,183
Operating Expenses	17,294	17,500	17,000
Capital Outlay	0	0	0
TOTAL EXPENDITURES	\$885,599	\$901,585	\$925,183
STAFFING - FULL TIME			
Director	1	1	1
Tournament Director	1	1	1
Admin - Marketing	1	1	1
Maintenance Supervisor	1	1	1
Maintenance Crew Chief	3	3	3
Maintenance	9	6	6
Athletic Director	1	1	1
Asst. Athletic Director	1	1	1
Mechanic	1	1	1
TOTAL STAFFING - FT	19	16	16
STAFFING - PART TIME			
Maintenance	0	9	9
TOTAL STAFFING - PT	0	9	9
TOTAL STAFFING	19	25	25

FY 2018-19 BUDGET HIGHLIGHTS

The Park and Recreation budget reflects:

- \$28,000 for Fuel
- 9 FT maintenance positions, but the department has chosen to hold 3 positions and instead use PT Temporary staff for peak times of the year. This keeps Personnel expenses flat but replaces 3 FT with up to 9 PT staff to bring in when needed most.

MAJOR EVENTS SCHEDULED FOR FY 2018-19

Special Event	Month
July 4 th Celebration	July
Fall Festival	October
Trunk or Treat Event	October
Christmas Tree Lighting	December
Christmas Parade	December
Unity Celebration	March/April
Spring Fling	March/April
Farmer's Market	April - November
Music on the Square	May - August
Movies on the Square	August - October

SPORTS CALENDAR - FY 2018-19

Programs	Months	Estimated Participants
Tennis/ Pickle ball (Outdoors)	Feb. – Nov.	25
Adult Softball (Co-Ed & Men's)	March – May	Adult – 600
Baseball	March - May / Sept. – Nov.	75 Fall / 150 Spring
Flag Football	March – May	175
Soccer	March – May / Sept. – Nov.	350
Volleyball	March – May / Sept. – Nov.	250
Cheerleading	June – Nov.	150
Football	June – Nov.	300
Basketball	Nov. – March	300



SPECIAL REVENUE FUNDS

Special Revenue Funds are used to account for the proceeds of specific revenue sources (other than major capital projects) that are restricted by law or administrative action to expenditures for specified purposes.

Annual budgets are established for the following Special Revenue Funds:

Community Development Administration

Hospitality Tax / Recreation

Accommodations Tax

Local Accommodations Tax

Victim Rights Fund

Law Enforcement Fund

Fire Insurance Fund

COMMUNITY DEVELOPMENT ADMINISTRATION

Special Revenue Fund

The Community Development Administration Fund is a special revenue fund used to record the receipt and expenditure of Community Development Block Grant (CDBG) monies. The Community Development program strives to upgrade the living conditions of low- and moderate-income persons in targeted areas within the City of Easley. A number of projects are funded by Community Development grant monies, including low-interest rehabilitation loans, new home ownership, housing assistance programs, and the offering of financial and administrative support to various public improvements.

COMMUNITY DEVELOPMENT ADMINISTRATION					
	FY15	FY16	FY17	FY18	FY19
	Actual	Actual	Actual	Budget	Request
REVENUES					
Program Income	0	0	0	0	0
Received Loans - Principal	20,000	0	0	65,000	0
Loan Interest	500	0	357	5,500	4,000
Property Sales	0	49,566	0	0	0
Other	10,500	1,290,083	80,365	10,000	10,000
TOTAL REVENUES	31,000	1,339,649	80,722	80,500	14,000
EXPENDITURES					
Personnel	49,785	42,580	50,448	49,218	0
Operating Expenses	29,850	1,242,361	468,188	31,282	26,500
TOTAL EXPENDITURES	79,635	1,284,941	518,636	80,500	26,500
Surplus/(Deficit)	(48,635)	54,708	(437,914)	0	(12,500)
Fund balance at beginning of year	635,527	570,057	624,765	186,851	186,851
Fund balance at end of year	563,646	624,765	186,851	186,851	174,351

FY 2018-19 COMMUNITY DEVELOPMENT HIGHLIGHTS

- \$23,000 budgeted to finalize payments to the Main Street Challenge Awardees

HOSPITALITY TAX / RECREATION

Special Revenue Fund

By City Ordinance, the City of Easley enacted the levy of a two percent (2%) local hospitality tax on prepared meals and beverages in the City. The proceeds are to be used for tourist related improvements and facilities. The collection of the tax is governed by Article 7, Local Hospitality Tax, of Chapter 1, Title 6 of the South Carolina Code of Laws.

Hospitality Tax					
	FY15	FY16	FY17	FY18	FY19
	Actual	Actual	Actual	Budget	Proposed
REVENUES					
Hospitality Tax Income	1,698,826	1,770,532	1,955,339	1,825,000	1,900,000
Recreation Programs	0	178,119	185,950	180,000	164,000
Misc./Other	3,072,574	1,583,930	29,720	45,000	40,000
TOTAL REVENUES	4,771,400	3,532,581	2,171,009	2,050,000	2,104,000
EXPENDITURES					
Debt Service	497,445	590,979	746,499	727,994	741,881
Recreation Operations	609,712	1,198,390	1,048,929	972,006	1,134,619
Special Events	136,394	137,452	143,177	95,000	132,500
Capital Improvements/Projects	1,561,355	1,055,821	1,224,576	290,000	95,000
TOTAL EXPENDITURES	2,804,906	2,982,643	3,163,181	2,085,000	2,104,000
Surplus/(Deficit)	0	0	0	(35,000)	0
Fund balance at beginning of year	0	0	0	247,446	500,000
Fund balance at end of year	0	0	0	212,446	500,000

FY 2018-19 BUDGET HIGHLIGHTS

- \$741,881 for debt service.
- \$132,500 is budgeted for Special Events.
- \$20,000 is budgeted for work vehicles and equipment
- \$75,000 is budgeted for unknown repair work or improvements that come up during the year

ACCOMMODATIONS TAX

Special Revenue Fund

By a 1984 Act of the General Assembly, a two percent (2%) tax is imposed on all accommodations in the State of South Carolina. These monies are collected by the State and distributed to counties and municipalities. The proceeds must be spent for tourism promotion and tourism related expenditures. Projects are reviewed by an Accommodations Tax Advisory Committee.

State law provides that (a) the first \$25,000 must be allocated to the City's General Fund for general purpose use; (b) five percent (5%) of the balance must also be allocated to the City's General Fund; (c) thirty percent (30%) of the balance must be allocated for the purpose of advertising and promotion of tourism; and (d) the remaining balance must be used for tourism related expenditures.

ACCOMODATIONS TAX					
	FY15	FY16	FY17	FY18	FY19
	Actual	Actual	Actual	Budget	Request
REVENUES					
Intergovernmental	67,624	94,891	95,327	80,000	80,000
Interest	0	0	0	0	0
TOTAL REVENUES	67,624	94,891	95,327	80,000	80,000
EXPENDITURES					
Tourism Promotion	13,288	11,694	23,336	15,000	15,675
Tourism Projects	24,691	46,596	47,986	35,000	36,575
Transfer General Fund	30,000	30,000	28,516	30,000	27,750
TOTAL EXPENDITURES	67,978	88,290	99,838	80,000	80,000
Surplus/(Deficit)	(354)	6,601	(4,511)	0	0
Fund balance at beginning of year	6,247	5,885	12,486	7,975	7,975
Fund balance at end of year	6,601	12,486	7,975	7,975	7,975

FY 2018-19 BUDGET HIGHLIGHTS

- The 30% tourism promotion is earmarked for the Easley Chamber of Commerce (\$15,675);
- \$27,750 is transferred to the General Fund;
- \$36,575 is dedicated to tourism projects.

FY 2018-19 ALLOCATION OF ACCOMMODATIONS TAX REVENUES

Total Revenues	\$80,000
First \$25,000 to General Fund	<u>\$(25,000)</u>
	\$55,000
5% of Balance to General Fund	\$(2,750)
30% to Tourism Promotion	<u>\$(15,675)</u>
Available for Tourism-Related Expenditures	\$36,575

DISBURSEMENT OF FUNDING (TOURISM-RELATED EXPENDITURES)

	FY 18-19 <u>Budget</u>
TBA	\$36,575
TOTAL	\$36,575

LOCAL ACCOMMODATIONS TAX

Special Revenue Fund

By City Ordinance, The City of Easley enacts an accommodations fee of 1.5% of gross receipts of businesses engaged in providing accommodations for transients within the jurisdiction of the City.

All fees collected under this ordinance are used to defray the cost of tourism marketing services subject to annual appropriations by City Council. The appropriation provides for the distribution of accommodations fees to tourism marketing services.

LOCAL ACCOMODATIONS TAX					
	FY15	FY16	FY17	FY18	FY19
	Actual	Actual	Actual	Budget	Proposed
REVENUES					
Intergovernmental	86,785	74,080	84,810	75,000	75,000
TOTAL REVENUES	86,785	74,080	84,810	75,000	75,000
EXPENDITURES					
Tourism Promotion	79,943	62,955	84,063	75,000	75,000
TOTAL EXPENDITURES	79,943	62,955	84,063	75,000	75,000
Surplus/(Deficit)	6,842	11,125	747	0	0
Fund balance at beginning of year	39,793	46,635	57,760	58,508	58,508
Fund balance at end of year	46,635	57,760	58,508	58,508	58,508

FY 2018-19 BUDGET HIGHLIGHTS

- \$35,000 is budgeted specifically for Recreation tourism to bring in tournaments.
- \$15,000 is budgeted for the implementation of the branding, marketing, and wayfinding study for the City.

VICTIM RIGHTS FUND

Special Revenue Fund

The Victim Rights Fund is used to record receipts from special court revenue and expenditures associated with the Victim Assistance program mandated by the State of South Carolina. The funds are used to support one staff member in the Police Department who provides support to victims of violent crime. A staff member is on call 24 hours a day. Victims are educated about the process of the criminal justice system and victims are referred to counseling if necessary.

Victim Rights					
	FY15	FY16	FY17	FY18	FY19
	Actual	Actual	Actual	Request	Request
REVENUES					
Victims rights assessments	67,516	60,673	53,412	57,000	55,000
Interest/Other	0	0	0	0	0
TOTAL REVENUES	67,516	60,673	53,412	57,000	55,000
EXPENDITURES					
Personnel Expenditures	44,473	46,141	49,010	48,027	51,058
Operating Expenditures	3,694	2,924	5,010	6,650	7,150
TOTAL EXPENDITURES	48,168	49,065	54,020	54,677	58,208
Surplus/(Deficit)	19,348	11,609	-608	2,323	-3,208
Fund balance at beginning of year	102,690	122,038	133,647	133,039	135,362
Fund balance at end of year	122,038	133,647	133,039	135,362	132,154

FY 2018-19 BUDGET HIGHLIGHTS

- Personnel costs support Victim Rights Advocate

LAW ENFORCEMENT FUND

Special Revenue Fund

The Law Enforcement Fund is used to record receipts from arrests where monies were confiscated as evidence. By law the monies must be held in a holding account until the case is disposed. If the defendant is found innocent, not guilty, or the case is dismissed the monies being held are returned to the defendant. If the defendant is found guilty the monies are transferred to the unrestricted account and must be used on law enforcement activities.

Law Enforcement Fund					
	FY15	FY16	FY17	FY18	FY19
	Actual	Actual	Actual	Budget	Request
REVENUES					
CONFISCATED DRUG MONEY - HOLDING	0	0	0	0	0
DRUG MONEY	12,710	433,311	56,827	10,000	10,000
TRANSFER GENERAL FUND	0	0	0	0	0
Interest	223	363	693	0	0
TOTAL REVENUES	12,932	433,674	57,520	10,000	10,000
EXPENDITURES					
Professional Services	5,520	0	0	0	0
Machinery & Equipment	0	7,335	64,436	50,000	200,000
TOTAL EXPENDITURES	5,520	7,335	64,436	50,000	200,000
Surplus/(Deficit)	7,413	426,339	(6,916)	(40,000)	(190,000)
Fund balance at beginning of year	82,432	89,844	516,183	509,267	469,267
Fund balance at end of year	89,844	516,183	509,267	469,267	279,267

FY 2018-19 BUDGET HIGHLIGHTS

- Budget includes \$200,000 for training, equipment, and other items as allowed under the guidelines of these funds

FIRE INSURANCE FUND

Special Revenue Fund

The Fire Insurance Fund is used to record receipts from the one percent (1%) of premiums the State collects from insurance agencies. State law stipulates that these monies can be used for items such as retirement and insurance, training and education, and recruitment and retention. The funds cannot be used to offset normal operating or capital expenses.

Firemen's Fund					
	FY15	FY16	FY17	FY18	FY19
	Actual	Actual	Actual	Budget	Request
REVENUES					
FF 1% Money	59,020	64,705	69,677	65,000	65,000
TOTAL REVENUES	59,020	64,705	69,677	65,000	65,000
EXPENDITURES					
Retirement	25,100	30,100	0	27,500	27,500
Recruitment-Retention	39,396	47,755	6,221	37,500	37,500
TOTAL EXPENDITURES	64,496	78,054	66,247	65,000	65,000
Surplus/(Deficit)	\$ (5,476)	\$ (13,349)	3,430	0	0
Fund balance at beginning of year	49,575	44,099	30,751	34,181	34,181
Fund balance at end of year	44,099	30,751	34,181	34,181	34,181

FY 2018-19 BUDGET HIGHLIGHTS

- Budget includes \$27,500 to supplement firefighters' retirement



ENTERPRISE FUNDS

Enterprise Funds are used to account for operations that are financed and operated in a manner similar to private business enterprises. The intent is that costs of providing goods or services to the general public and other local governments on a continuing basis be financed or recovered primarily through user charges.

Annual budgets are established for the following Enterprise Fund:

Stormwater Management

STORMWATER MANAGEMENT

Enterprise Fund

In 1991, under the Storm Water Management and Sediment Reduction Act, authority was granted to local governments to establish a stormwater utility to fund such activities as watershed master planning, facility retrofitting and facility maintenance. In 2004 Easley City Council adopted a permanent fee, with the rate structure based on impervious surface areas of individual parcels. A stormwater management fund was established in FY 2003-04 to record the receipts and expenditures related to the stormwater management program. The fund is classified as an Enterprise Fund to comply with GASB 34 reporting standards.

Stormwater Administration and Planning is responsible for developing watershed master plans, coordinating improvements to the City's watershed basins, and complying with state/federal mandates related to stormwater management and water quality design.

STORMWATER MANAGEMENT				
	FY16	FY17	FY18	FY19
	Actual	Actual	Budget	Proposed
REVENUES				
SW Fees	349,869	410,674	400,000	425,000
Misc./Other	0	403,123	0	225,000
TOTAL REVENUES	349,869	813,797	400,000	650,000
EXPENDITURES				
Personnel Expenditures	0	0	0	0
Operating Expenditures	653,303	342,999	361,983	262,000
Capital Expenditures	1,137,680	22,749	38,017	338,000
TOTAL EXPENDITURES	1,790,983	365,747	400,000	600,000
Surplus/(Deficit)	(1,441,114)	448,050	0	50,000
Fund balance at beginning of year	\$ 260,009	\$ (1,149,166)	\$ (301,117)	\$ -
Fund balance at end of year	\$ (1,149,166)	\$ (301,117)	\$ (201,117)	\$ 50,000

FY 2018-19 BUDGET HIGHLIGHTS

The Stormwater Management budget reflects:

- Leaving the Annual Stormwater Rate at \$28/unit.
- The Stormwater Engineer position including; salary/benefits, equipment, and training becoming part of the transfer to the General Fund to reimburse the position cost. This is done to make annual auditing of the account smoother.
- \$113,000 is included for stormwater repairs and improvements
- \$225,000 is included for the Lease Purchase of a Street Sweeper
- \$20,000 is included for supplies and equipment and \$15,000 is included for fuel for the Street Sweeper
- \$2,500 is included for DHEC fees



DEBT SERVICE FUNDS

Debt Service Funds are used to account for the repayment of principal and interest on bonds issued for specified purposes. Annual budgets are established for the following debt service funds:

General Debt Service Fund, to account for general long-term debt principal, interest, and related costs.

Tax Increment Fund, to account for the retirement of principal and interest on tax increment revenue bonds issued for various improvements in the downtown redevelopment area.

GENERAL DEBT SERVICE FUND

Direct Debt Service Fund

The General Debt Service Fund is used to record resources for, and payment of, general long-term debt, debt principal, interest, and related costs. Provisions are made in the City's annual operating budget to transfer sufficient funds to meet the general obligation requirements.

GENERAL DEBT SERVICE FUND						
	FY17	FY18	FY19	FY20	FY21	FY22
	Actual	Budget	Proposed	Estimated	Estimated	Estimated
LEASE PURCHASES						
Lease Purchases Principal Retirement	104,603	128,509	155,191	191,229	130,846	132,175
Lease Purchase Interest	4,651	10,956	13,389	13,059	10,480	8,651
TOTAL LEASE PURCHASES	\$ 109,254	\$ 139,465	\$ 168,581	\$ 204,289	\$ 141,326	\$ 140,826
BOND FINANCING						
Bond Principal Retirement	\$ 380,000	\$ 100,000	\$ 105,000	\$ 160,000	\$ 165,000	\$ 175,000
Bond Interest	\$ 65,756	\$ 59,236	\$ 170,505	\$ 248,398	\$ 240,706	\$ 232,778
TOTAL BOND FINANCING	445,756	159,236	275,505	408,398	405,706	407,778
TOTAL - BONDS AND LEASE PURCHASE						
TOTAL	555,010	298,701	444,085	612,686	547,032	548,604

Principal	FY 16-17	FY 17-18	FY 18-19	FY 19-20	FY 20-21	FY 21-22
2005/2013A GO Bond	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
2004 Lease - Fire Truck	\$ 41,000	\$ 41,000	\$ 41,000			
2014 Lease - Fire Truck	\$ 59,385	\$ 60,146	\$ 60,909	\$ 61,681	\$ -	\$ -
2013B GO - Refinance - 2010 GO	\$ 280,000	\$ -	\$ -	\$ -	\$ -	\$ -
2009 GO - Police and Court	\$ 100,000	\$ 100,000	\$ 105,000	\$ 110,000	\$ 115,000	\$ 120,000
2017 Lease - Brush Truck		\$ 27,362	\$ 27,910	\$ 28,468	\$ 29,037	\$ 29,618
2018 Lease - Trash Truck			\$ 25,373	\$ 26,081	\$ 26,809	\$ 27,557
2019 Lease - Fire Engine				\$ 50,000	\$ 50,000	\$ 50,000
2019 Lease - Leaf Truck				\$ 25,000	\$ 25,000	\$ 25,000
2019 GO Bond (Fire & PW) - \$5,000,000				\$ 50,000	\$ 50,000	\$ 55,000
	\$ 480,385	\$ 228,509	\$ 260,191	\$ 351,229	\$ 295,846	\$ 307,175
Interest						
2005/2013A GO Bond	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
2004 Lease - Fire Truck	\$ 5,792	\$ 5,792	\$ 5,792			
2014 Lease - Fire Truck	\$ 3,077	\$ 2,316	\$ 1,554	\$ 782	\$ -	\$ -
2013B GO - Refinance - 2010 GO	\$ 1,596	\$ -	\$ -	\$ -	\$ -	\$ -
2009 GO - Police and Court	\$ 63,956	\$ 59,236	\$ 54,516	\$ 49,560	\$ 44,368	\$ 38,940
2017 Lease - Brush Truck		\$ 2,848	\$ 2,301	\$ 1,742	\$ 1,173	\$ 592
2018 Lease - Trash Truck			\$ 3,743	\$ 3,035	\$ 2,307	\$ 1,559
2019 Lease - Fire Engine				\$ 5,000	\$ 4,500	\$ 4,000
2019 Lease - Leaf Truck				\$ 2,500	\$ 2,500	\$ 2,500
2019 GO Bond (Fire & PW) \$5,000,000			\$ 115,989	\$ 198,838	\$ 196,338	\$ 193,838
	\$ 74,421	\$ 70,192	\$ 183,894	\$ 261,457	\$ 251,186	\$ 241,429
Total P & I	\$ 554,806	\$ 298,701	\$ 444,085	\$ 612,686	\$ 547,032	\$ 548,604

TAX INCREMENT FUND

Debt Service Fund

The Tax Increment Fund was established in 2003 to account for the retirement of principal and interest on tax increment revenue bonds issued by the City for various improvements in the downtown redevelopment area. The bonds are repaid from the incremental taxes produced by the incremental increase in assessed property values within the tax increment district. In 2004, a \$640,000 tax increment improvement bond was issued to finance improvements in the downtown redevelopment area. In 2006, a \$1,050,000 another tax increment improvement bond was issued to finance additional improvements. In 2010, a \$1,203,000 tax increment improvement bond was issued to defease the 2004 and 2006 issues respectively. This bonding expires in FY 17-18.

During FY 17-18 the City worked with Pickens County and the School District of Pickens County to extend the TIF for ten (10) additional years. The City will be issuing between \$1.5 and \$1.6 million in debt tied to the TIF extension. The payments will run from FY 18-19 through FY 28-29.

TIF Fund					
	FY15	FY16	FY17	FY18	FY19
	Actual	Actual	Actual	Budget	Proposed
REVENUES					
Property Taxes	462,163	482,312	521,838	500,000	515,000
Interest	0	1,797	0	0	0
Misscellaneous	0	0	0	0	0
TOTAL REVENUES	462,163	484,109	521,838	500,000	515,000
EXPENDITURES					
Debt Service	150,000	167,756	168,679	174,471	177,500
Capital Improvments	0	376,019	307,007	438,416	337,500
TOTAL EXPENDITURES	150,000	543,775	475,686	612,887	515,000
Surplus/(Deficit)	312,163	(59,666)	46,152	(112,887)	0
Fund balance at beginning of year	213,749	221,553	161,887	208,039	95,152
Fund balance at end of year	525,912	161,887	208,039	95,152	95,152

FY 2018-19 BREAKDOWN OF PRINCIPAL AND INTEREST

Principal:

2018 Bond	\$129,000
	\$129,000

Interest:

2018 Bond	\$ 47,904
	\$ 47,904



APPENDICES

- A. Appropriation Ordinance
- B. Summary of Outstanding Debt and Legal Debt Margin
- C. Glossary
- D. Organization Chart

APPENDIX - A

ORDINANCE NO. 2018-

**AN ORDINANCE
TO PROVIDE FOR THE ADOPTION OF A CITY OPERATING BUDGET,
ITS EXECUTION AND EFFECT, FOR THE FISCAL PERIOD
JULY 1, 2018 THROUGH JUNE 30, 2019**

BE IT ORDAINED BY THE MAYOR AND COUNCIL OF THE CITY OF EASLEY, SOUTH CAROLINA:

SECTION 1. In accordance with Section 34-01 of The Code of the City of Easley, South Carolina, there is hereby adopted for the fiscal period July 1, 2018 to June 30, 2019, an operating budget for the City of Easley, South Carolina, based on budget estimates of various funds as prepared by the City Administrator and incorporated into the FY 2018-19 operating budget document, and as modified by the attached adjustment schedule.

SECTION 2. The total revenues and expenditures for the fiscal period are estimated as follows:

	<u>Revenues</u>	<u>Expenditures</u>	<u>Surplus/Deficit</u>
General Fund	\$13,783,750	\$13,783,750	0
Special Revenue Funds			
Community Development Admin.	14,000	26,500	(12,500)
Hospitality Tax / Recreation Fund	2,104,000	2,104,000	0
Accommodations Tax	80,000	80,000	0
Local Accommodations Tax	75,000	75,000	0
Victim Rights Fund	55,000	58,208	(3,208)
Law Enforcement Fund	10,000	200,000	(190,000)
Fire Insurance Fund	65,000	65,000	0
Enterprise Funds			
Stormwater Management	650,000	600,000	50,000
Debt Service Funds			
Tax Increment Fund	515,000	515,000	0
Totals (memorandum only)	\$17,351,750	\$17,507,458	(155,708)

SECTION 3. Within each department, the City Administrator shall have the authority to transfer appropriated funds within any of the designated expenditure categories, and such transfers shall be entered on the books of account of the City.

SECTION 4. A bound copy of the budget containing detailed schedules which support the appropriations set forth in Section 2, above, shall be attested by the City Administrator and maintained as an official record in the office of the City Administrator.

SECTION 5. The sums appropriated and set forth in the detailed schedules for personnel services shall be paid

in accordance with the current pay plan, or as shown in the budget for those positions not classified under the pay plan.

SECTION 6. All sums received by the City of Easley from any source whatsoever, unless by law designated for some special fund or purpose, may be used in meeting disbursements from the General Fund, as described in Section 2, above.

SECTION 7. The City Administrator is authorized to inform the County Tax Collector, or such other officer of the County as may be appropriate, to levy such ad valorem millage as will be reasonable and appropriate to raise the ad valorem revenue reflected in the approved budget, provided such millage does not exceed the millage rate of 68 mills that is levied in the operating budget document.

SECTION 8. This Ordinance shall become effective upon date of passage, designated as Ordinance No. 2018-
.

DONE, RATIFIED, AND PASSED this day of , 2018.

MAYOR

ATTEST:

City Clerk

APPENDIX - B

Summary of Outstanding Debt and Legal Debt Margin

Bonds and Leases payable in FY 18-19 are comprised of the following issues:

	<u>6/30/16 Balance</u>	<u>6/30/17 Balance</u>	<u>6/30/18 Balance</u>	<u>6/30/19 Balance</u>
General Obligation Bonds & Capital Leases				
\$549,865 - Capital Lease 2004 - used to finance a fire ladder truck. Payments due in annual installments of \$28,162 to \$46,582 through June, 2019.	123,000	82,000	41,000	0
\$300,000 - Capital Lease 2014 - used to finance a fire engine. Payments due in annual installments of \$57,879 to \$61,681 through April 2020.	300,000	242,121	181,975	121,066
\$142,395 - Capital Lease 2017 - used to finance a new brush truck. Payments due in annual Installments between \$27,000 and \$29,500	0	142,395	115,033	87,123
\$134,146- Capital Lease 2018 - used to finance a new trash truck. Payments due in annual Installments between \$25,000 and \$28,000	0	0	134,146	108,773
\$1,830,000 - series 2009 - used to fund public improvements associated with the Easley Town Center	1,355,000	1,255,000	1,155,000	1,050,000
General Obligation Bonds/Capital Lease Totals	1,778,000	1,721,516	1,627,154	1,366,962

Revenue Bonds	<u>6/30/16 Balance</u>	<u>6/30/17 Balance</u>	<u>6/30/18 Balance</u>	<u>6/30/19 Balance</u>
\$3,325,000 - Series 2013A used to defease - \$4,455,000 - series 2010 - used to defease the \$6,000,000 - series 2005 COP's- used to finance the construction of the Larry Bagwell gymnasium. Bonds are due in annual installments of \$365,000 to \$535,000 through May, 2020.	2,005,000	1,535,000	1,045,000	535,000
\$1,100,000 - Series 2014 used to for Doodle Line development and other Parks and Recreation projects.	1,040,000	980,000	920,000	855,000
\$1,550,000 - Series 2016 used to for Doodle Line				

extension and other Parks and Recreation projects.	1,550,000	1,459,000	1,365,000	1,269,000
Revenue Bonds Total	4,595,000	3,974,000	3,330,000	2,659,000
Tax Increment Bonds \$1,600,000 - series 2018 - Bonds are due in annual installments of approx. \$177,000 through April, 2029.	330,000	170,000	0	1,600,000
Tax Increment Bonds Total	330,000	170,000	0	1,600,000

LEGAL DEBT MARGIN

	6/30/14	6/30/15	6/30/16	6/30/17	6/30/18
	<u>Actual</u>	<u>Actual</u>	<u>Actual</u>	<u>Actual</u>	<u>Estimate</u>
Assessed value	79,624,860	81,824,893	82,776,530	83,552,759	84,510,509
Merchants' inventory for debt purposes	2,166,962	2,166,962	2,166,962	2,166,962	2,166,962
Total assessed value	81,791,822	83,991,855	84,810,104	85,719,721	86,677,471
Statutory debt limit based on 8% of Total assessed value	6,543,346	6,719,348	6,784,808	6,857,578	6,934,198
Less, amount of debt applicable to debt limit	2,360,000	2,005,000	1,635,000	1,255,000	1,155,000
Legal debt margin	<u>4,183,346</u>	<u>4,714,348</u>	<u>5,149,808</u>	<u>5,602,578</u>	<u>5,779,198</u>

Legal debt margin is the statutory debt limit a municipality is allowed to issue without a voter referendum. Per state statute, in calculating a legal debt margin all capital leases are excluded. Further, any debt issue which was approved through a voter referendum is also excluded.

APPENDIX - C

Glossary

Accrual Accounting - A basis of accounting in which revenues are recognized when earned and expenses when incurred.

Activity - The smallest unit of budgetary accountability which defines specific and distinguishable lines of work performed by a department or division for the purpose of accomplishing a particular service.

Appropriation - An authorization made by City Council to incur obligations against and to make expenditures of governmental resources. Appropriations are usually made for fixed amounts and are typically granted for a one year period, except in the instance of capital projects where they are granted for the duration of the project.

Assessed Valuation - A valuation set upon real estate or other property by the County Assessor as a basis for levying taxes.

Assessment Ratio - A percentage which is multiplied by the appraised market value of a property to determine the assessed value.

Budget - A plan of financial operation embodying an estimate of proposed expenditures for a given period of time and the proposed means of financing them.

Capital Improvement Program (CIP) - A schedule of capital expenditures to be incurred over a five-year period to carry out the City's program of public improvements.

Capital Budget - The first year of the CIP as approved by City Council.

Capital Improvement Project - An item whose construction or other acquisition represents a physical improvement to the community and adds to the total physical worth of the City. The improvement should have a useful life of not less than 15 years, and normally will exceed \$200,000 in total cost.

Capital Outlay - In the operating budget, refers to any item which has an expected useful life of greater than 3 years and an estimated unit cost of \$500 or more.

CBD - Central Business District.

CDA - Community Development Administration.

CDBG - Community Development Block Grant.

CPI - Continuous Process Improvement.

Debt Service - Payment of interest and principal on an obligation resulting from the issuance of bonds.

DHEC - Department of Health and Environmental Control.

DOT - Department of Transportation.

ECU - Easley Combined Utilities.

Encumbrance - Funds not yet expended, but which are obligated or set aside in anticipation of expenditures.

Enterprise Fund - An accounting entity used to account for operations in which the cost of providing services to the public on a continuing basis is financed primarily through user charges.

Fiscal Year - 12 month period beginning with July 1 and ending with June 30 of the fiscal year designated.

Full Time Position - Employee who receives full fringe benefits and whose salary is calculated on the basis of 2,080 hours per year.

Fund - A fiscal and accounting tool with a self balancing set of accounts to record revenues and expenditures.

Fund Balance - The excess of an entity's assets over its liabilities, which may include reserves and designations.

GAAP - Generally Accepted Accounting Practices

GASB - Governmental Accounting Standards Board

General Fund - An accounting entity used to account for all revenue and expenditures applicable to general operations of governmental agencies of the City, and to record all financial transactions not properly accounted for in another fund.

GFOA - Government Finance Officers Association.

GGs - General Government Services Department.

GIS - Geographic Information Systems.

G. O. Bonds - General Obligation Bonds.

HUD - Federal Department of Housing and Urban Development.

ISO - Insurance Services Office

ISTEA - Intermodal Surface Transportation and Enhancement Act.

Mill - A unit of value calculated at one dollar per one thousand dollars of assessed value.

Millage - A term used to describe the rate of taxes levied.

Modified Accrual Accounting - A basis of accounting in which revenues are recognized when they become measurable and available as net assets, and expenditures are recognized when the related fund liability is incurred. Modified accrual accounting is recommended as the standard for most governmental funds.

NFPA - National Fire Protection Association.

Object of Expenditure - A specific type of expenditure for which a unique identification number and title is given; represents the most detailed level of budgeting and recording expenditures. Also referred to as a line item.

Objective - A clearly described, output oriented target or accomplishment which can be measured and achieved within a given timeframe. Achievement of the objective advances the organization toward a corresponding goal.

Operating Expense - General category of expense that includes fixed costs (e.g., insurance and utilities) and non fixed costs (e.g., materials and contractual services) of a recurring nature.

Performance Measure - The quantitative determination of the efficiency, effectiveness, and quality of municipal services.

Personnel Service - General category of expense that includes full time and part time salaries, overtime, supplemental pay, and fringe benefits.

Productivity - A measure of service output compared to the per unit of resource input invested.

SEA Indicators - Service efforts and accomplishments indicators.

Tax Rate - The amount of tax levied for each \$1,000 assessed valuation.

User Fee - Payment of a fee for direct receipt of a public service by the party benefiting from the service.

APPENDIX - D

Organization Chart

